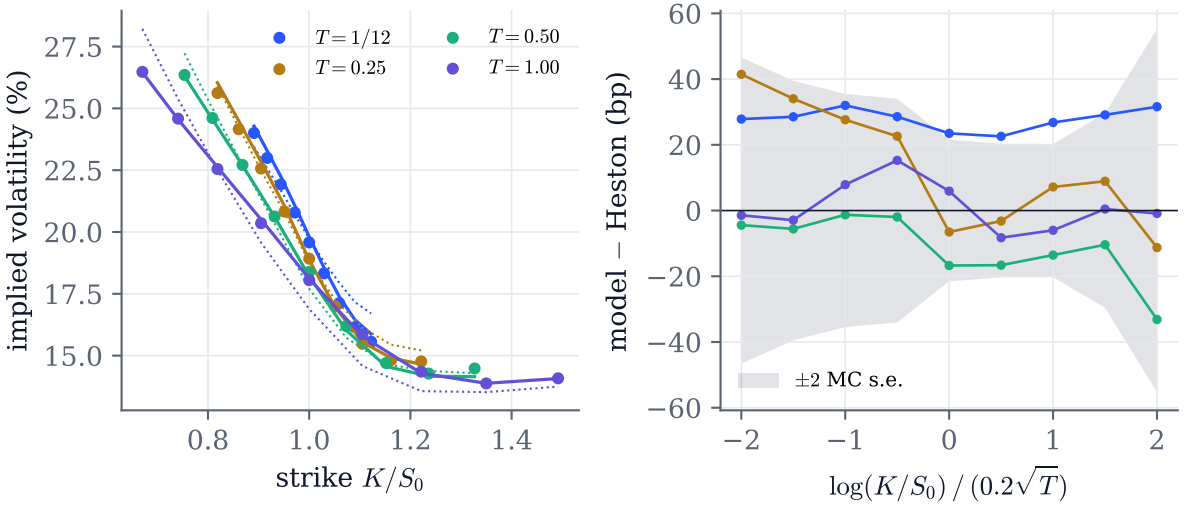
implied volatility (%)
27.5
25.0
22.5
20.0
17.5
15.0
0.8
1.0
1.2
1.4
strike K/S_0
$T = 1/12$
$T = 0.25$
$T = 0.50$
$T = 1.00$
model − Heston (bp)
60
40
20
0
−20
−40
−60
−2
−1
0
1
2
$\log(K/S_0) \,/\, (0.2\sqrt{T})$
±2 MC s.e.